Milestone 2
Follow the Dollar-Find the Next Dollar

How does your company earn revenue today, and what realistic opportunity could generate additional revenue in the future?

Trace the company's current revenue engine, explain recent sales, and develop one evidence-supported revenue opportunity that you can evaluate financially in Milestone 3.

Individual work · 8 points · About 3-4 focused hours including class work. Bring your company's latest annual filing or annual report and access to FactSet if available.

Check Canvas for your applicable submission deadline. Existing course schedule dates have not been changed.

Your submission

Submit one completed .xlsx workbook with all three tabs. Use your approved project company. No separate report, slide deck, peer-ratio analysis, or full valuation is required for Milestone 2.

Save as **BUS311_M02_Lastname_Ticker.xlsx**. Complete **Follow the dollar, Revenue history, and Next dollar**. Yellow cells are your inputs and responses. Pale green cells require your Excel formulas. Expand response-row heights if needed so all writing is visible.

Trace the current revenue engine

On **Follow the dollar**, trace one important purchase from customer to company revenue:

Who pays -> What they buy -> How they buy -> How the company charges -> What creates repeat revenue

Identify the largest reported revenue source, including amount and fiscal year. Use a reported segment, product group, or category when available. Explain how that source relates to the purchase you traced. Your map should describe the business, rather than list every minor product.

Finish with: "My company earns revenue primarily by selling ___ to ___. Revenue changes mainly when ___ changes." Distinguish the payer from the user when they differ, and distinguish revenue earned from cash collected.

Explain three years of revenue

On **Revenue history**, enter three completed fiscal years, oldest to newest. Use consistent currency, scale, and definitions. Explain changes that affect comparability and interpret whether sales growth is accelerating, slowing, declining, or uneven.

Revenue history: enter fiscal years in B9:D9 and total revenues in B10:D10, oldest to newest. In C12, calculate middle-year revenue divided by oldest-year revenue minus 1. In D12, calculate latest-year revenue divided by middle-year revenue minus 1. Format both as percentages. If the prior year is zero or unavailable, report n.a. and explain why.

Explain **two distinct revenue drivers**. Examples include price, volume, customer count, retention, product mix, capacity, or acquisitions. Explain the mechanism and evidence. A driver can be directional when its dollar contribution is not disclosed. Separate reported facts from your interpretation.

Generate three future revenue ideas

On **Next dollar**, propose one idea for each route. Each must name a specific payer and explain willingness to pay.

Route	Question
Existing customers	What could they buy more often, buy more of, or pay more for, and why?
New customers	Which specific customer group, geography, or channel could the company reach?
New offering or payment model	What additional product, service, subscription, or licensing arrangement would customers value?

Choose one idea to develop. Label it as your proposal, an announced company initiative, or an extension of an existing activity. Use **at least two pieces of company evidence** to explain why the company could execute it. Two observations may come from the same filing when they are distinct and precisely located.

Estimate the next dollar and test the reasoning

Next dollar: enter additional revenue units in B29 and recognized revenue per unit for the same forecast period in B30, using unscaled currency such as USD rather than USD millions. Enter existing sales displaced in B31 in the same currency. In B32, calculate B29 × B30 – B31 with an Excel formula. Document adoption timing and avoid counting the same revenue twice. A negative result is informative; reconsider the idea rather than forcing a positive number.

Explain the reasoning behind quantity, price/spending, and displaced sales. Identify the main operating costs and upfront investment. State why additional revenue may not produce additional profit or cash flow. You do not need a full cost forecast or NPV calculation.

Name **one material risk**. Propose a practical pilot or evidence check, one measurable indicator, and an observable result that would cause you to reconsider.

Ask a partner to act as skeptical CFO, or use the same questions for self-review: Why would customers choose this? What is the weakest assumption? How could demand be tested before committing substantial money? Record the strongest challenge, what you checked, and your revision or justified decision to retain the idea.

Over [period], [company] could generate additional revenue through [opportunity] because [mechanism]. I would monitor [measure] and reconsider if [result].

Use traceable evidence

Use credible company filings, annual reports, or FactSet reports to support company facts and historical figures. Name the relevant filing or report and useful page, section, or link in your written responses. Clearly label calculations, assumptions, and interpretations. AI output is not financial evidence.

If comparable history or a revenue breakdown is not disclosed, state the limitation and consult the instructor about an appropriate substitute. Do not invent company facts or a segment split. A forecast assumption is permitted when clearly labeled and explained.

Students and the instructor may use FactSet evidence in BUS311 course deliverables. Raw exports and screenshots remain in approved course-restricted systems and are not committed publicly or uploaded to public AI tools.

Give public AI tools only a short summary you wrote from public information. Do not upload workbooks, raw FactSet exports or screenshots, personal information, private teaching material, or nonpublic information. If AI is used, name the tool and purpose in the workbook revision response and disclose it briefly in the presentation appendix or source notes.

In the revision response, name any AI tool and purpose or state "No AI used." Partner discussion is allowed; the submitted analysis and writing remain individual.

Class work sequence

The 40-minute activity starts your analysis. Complete remaining research and calculations after class.

1. **Follow the dollar (10 minutes).** Trace who pays, what they buy, how they buy, how the company charges, and what creates repeat revenue. Start the Follow the dollar tab.
2. **Find three possible next dollars (10 minutes).** Generate one idea for existing customers, one for new customers, and one new offering or payment model. Identify the payer and willingness to pay for each.
3. **Choose and estimate (10 minutes).** Choose one idea. Identify the driver, outline the revenue calculation, and flag costs, investment, and potentially displaced sales. Use labeled assumptions when evidence is still needed.
4. **Defend and revise (7 minutes).** A partner acts as skeptical CFO. Ask why customers would choose this, what assumption is weakest, and how demand could be tested. Self-review is an equivalent option.
5. **Exit claim (3 minutes).** Write the final revenue claim and identify the most important evidence still needed. Complete historical research, calculations, and revisions after class.

How the eight points are earned

Criterion	Points	What earns credit
Explain the current revenue engine	2	Identify payer, offering, channel, pricing, and repeat revenue (1); identify the largest disclosed source and connect the map to traceable evidence (1).
Analyze revenue history and drivers	2	Use three comparable fiscal years with currency, units, correct growth formulas, and a useful trend interpretation (1); explain two distinct company-specific revenue drivers with evidence (1).
Develop a company-specific opportunity	2	Generate three distinct routes with a specific payer and willingness to pay (0.5); choose one, identify its status, and support company fit with two pieces of evidence (0.75); provide a period-consistent revenue calculation and explained assumptions, including displaced sales (0.75).
Evaluate feasibility and revise	2	Explain costs/investment and why revenue differs from profit/cash flow (0.5); identify a material risk and a measurable test with a reconsideration trigger (0.75); record a meaningful challenge, justified response, final claim, and identified supporting evidence (0.75).
Total	**8**	Partial credit follows the evidence demonstrated within each subcategory.

Equivalent valid formulas are accepted. A thoughtful limitation is stronger than an invented fact. Sources and reasoning are assessed in the relevant categories; avoid treating more pages as stronger analysis.

Before submitting

- My map explains the paying customer, offering, channel, pricing, and repeat revenue, with a supported largest revenue source or disclosed limitation.
- I entered three years of revenue, identified currency/units, calculated growth with Excel formulas, and explained two revenue drivers.
- I generated three distinct ideas, selected one, labeled its status, and used two pieces of company evidence to explain its fit.
- My revenue estimate uses matching quantity, price, period, and currency units, subtracts displaced revenue, and labels assumptions.
- I addressed costs/investment, a material risk, a measurable test, the strongest challenge, and my resulting revision.
- I identified the company filings or reports supporting my analysis. I can explain my formulas and final claim. I included an AI-use statement or no-AI statement.

Where this goes next

In Milestone 3, you will compare financial ratios with two peers, complete a brief P/E check, and decide whether to pursue, pilot, or strengthen the business before pursuing this opportunity. The Milestone 3 guide and workbook are available. No peer-ratio calculations are required for Milestone 2.